

cate claim settlements.

For families, this frequently translates into prolonged uncertainty and limited recourse, says Bhatikar.

“BMIP offers a meaningful shift in that dynamic. By anchoring insurance within Indian jurisdiction, crew welfare claims, including injury, death, and repatriation, would be subject to Indian courts and Indian regulatory oversight. This strengthens India’s position as a flag state with enforceable duty-of-care obligations towards its seafarers, and provides affected parties with a far more accessible avenue for accountability and redress,” says Bhatikar.

ECOSYSTEM

Hajee says that for long-term sustainability, the focus should be on building a strong ecosystem rather than viewing insurance as a standalone product.

“This requires adequate capitalisation, access to global reinsurance capacity, robust underwriting expertise, efficient claims management and broad participation from shipowners, ports, offshore operators and other maritime stakeholders. Equally important is scale. As India’s maritime economy expands through investments in ports, shipping, shipbuilding and offshore infrastructure, the domestic insurance market must evolve alongside it,” he says.

India has limited domestic expertise in specialist marine underwriting, particularly in war risk and P&I lines, and building that capability is a generational undertaking. The true test of BMIP will come not in the issuance of policies, but in the settlement of large, complex and contested claims.

“How the institution performs under that pressure will deter-



“Insurance decisions are influenced by operational requirements, trading routes, etc. Over time, market will determine the optimal balance between domestic and international coverage solutions”

ALIASGAR HAJEE

CEO, SHIPBUILDING
& SHIP MANAGEMENT,
SHM GROUP



“Bharat Maritime Insurance Pool represents a conscious effort to reduce excessive dependence on external insurance markets during periods of geopolitical uncertainty”

HARSH BUCH

FOUNDING PARTNER,
ORION COUNSEL

mine whether this initiative fulfils its considerable promise or joins the list of well-intentioned reforms that failed to endure,” says Bhatikar.

A LONG WAY TO GO

Equally important is the development of genuine technical capacity within the pool and its member-institutions in areas such as claims investigation, casualty management, and legal recovery. These are specialist functions that cannot be indefinitely outsourced to international reinsurers without replicating, in a different form, the very dependence BMIP has been created to resolve.

“Finally, from a maritime law perspective, an important question is whether BMIP-backed guarantees and security instruments will receive the same degree of acceptance before foreign courts, admiralty jurisdictions, ports, and commercial counterparties as International Group letters of undertaking,” Buch says.

Indian ship owners say they are open to indigenous marine insurance but BMIP has a long way to go to find international acceptance.

Buch says BMIP is the beginning of a journey rather than its culmination.

The real test will not be whether it can underwrite policies, but whether it can catalyse the development of a genuinely industry-led maritime risk culture in India.

If it succeeds in doing so, BMIP could become one of the most consequential institutional developments in the Indian maritime sector in decades, says Buch. **BT**

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